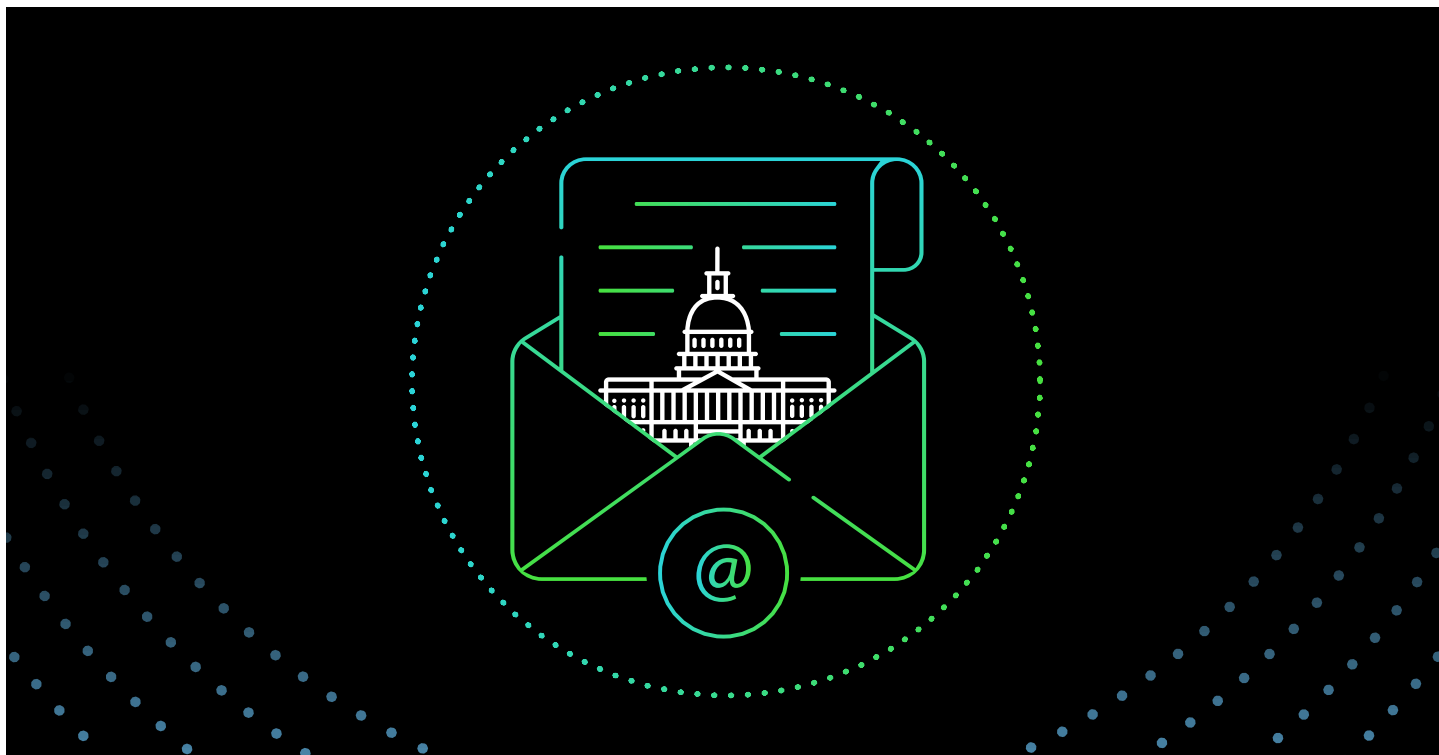




Tax News & Views

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Reconciliation 3.0 outlook uncertain, Senate clears procedural hurdle on bipartisan housing bill

The outlook for passing a potential third party-line reconciliation package before the end of the 119th Congress remains uncertain, with limited public signs of progress over the past week. A third reconciliation measure would follow two prior reconciliation laws enacted in this Congress – a narrowly focused bill providing fiscal year 2026 funding for immigration and border enforcement, and last year’s sweeping law addressing a range of tax and non-tax issues, known as the One Big Beautiful Bill Act (OBBBA, [P.L. 119-21](#)). The Senate, meanwhile, cleared a procedural hurdle this week for a revised housing measure on an overwhelmingly bipartisan basis, setting the stage for action in the coming days and subsequent House consideration where committee leaders have signaled support for the updated measure. (For prior coverage of the two reconciliation laws, see [Tax News & Views](#), Vol. 27, No. 22, June 12, 2026; [Tax News & Views](#), Vol. 27, No. 31, July 3, 2025.)

Some Republican lawmakers, especially in the House, have signaled interest in using the reconciliation process to advance additional policy priorities – including building on the tax-changes made in the OBBBA – as well as other non-tax initiatives before the November midterm elections. Others, however, have indicated that another reconciliation effort is unlikely to occur in the near term. Senate Majority Leader John

Thune (R-S.D.) struck a cautious tone, signaling uncertainty around the path forward, telling reporters this week that “[y]ou’ve got to have something that gets 50 and 218 and I’m not sure exactly at this point what that is,” referring to majority vote thresholds in the Senate and House, respectively. With a 53-seat majority, Leader Thune can afford to lose no more than three Republican senators, with Vice President JD Vance casting a tie-breaking vote.

A potential third reconciliation bill could include a range of items beyond those addressed in the OBBBA. Some lawmakers have suggested that any follow-on package should focus on affordability measures, while fiscal hawks have pressed for deficit reduction. Additionally, President Trump has urged Congress to use the process to substantially boost military spending. The balance between these competing priorities could shape the contours of any future package. Meanwhile, there could also be political risks to pursuing another reconciliation package if incumbents in competitive districts are required to take difficult votes on sensitive issues so close to the midterm elections.

Advancing another reconciliation measure this year would require both chambers to adopt an identical budget resolution establishing the bill’s broad parameters – a process that could take time in addition to difficult political tradeoffs. As a result, a key question is whether enough congressional Republicans can coalesce around a narrower set of priorities that fits within both the fiscal constraints of reconciliation and the political considerations facing members in a narrowly divided House and Senate.

Lawmakers reach bipartisan agreement on housing bill limiting investor-owned homes

Against this backdrop, lawmakers this week advanced the reworked version of the 21st Century ROAD to Housing Act ([H.R. 6644](#)) on a bipartisan basis, with the Senate clearing a key procedural motion by a vote of 84-8, with all opposing votes cast by Republicans. The Senate did not proceed to final passage before adjourning for the week, leaving the opportunity for a final vote until early next week. The legislation, which has moved between the Senate and House as lawmakers have worked to reconcile differences, culminated in a bipartisan, bicameral agreement announced by Senate Banking, Housing, and Urban Affairs Committee Chairman Tim Scott (R-S.C.) and Ranking Member Elizabeth Warren (D-Mass.), together with House Financial Services Committee Chairman French Hill (R-Ark.) and Ranking Member Maxine Waters (D-Calif.). The agreed-upon bill includes provisions aimed at curbing institutional investment in certain single-family homes.

Senate passage would not be the final stop before it is sent down Pennsylvania Avenue for the president’s signature. The revised measure would still need House approval, something seen as likely given the support the compromise has from both Reps. Hill and Waters.

Framing the legislation as part of a broader affordability agenda, Chairman Scott said “2026 is the Year of Affordability, and the 21st Century ROAD to Housing Act gives Congress a chance to deliver a major win for families across the country.” Warren similarly emphasized the bill’s potential impact, stating that the measure “[w]ill address our nation’s housing crisis by boosting housing supply, bringing down costs, and for the first time ever stopping private equity from buying up homes.”

For the updated text and section-by-section summary of the bill, see a June 16 Senate Banking, Housing, and Urban Affairs [press release](#).

(For prior coverage of President Trump’s order to stop large investors from purchasing single-family homes, see [Tax News & Views](#), Vol. 27, No. 5, Jan. 30, 2026; for prior coverage of earlier congressional activity, see [Tax News & Views](#), Vol. 27, No. 11, March 13, 2026; [Tax News & Views](#), Vol. 27, No. 19, May 22, 2026.)

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TIGTA reports on IRS workforce and customer service; IRS-CI warns of elder fraud

The Treasury Inspector General for Tax Administration (TIGTA) recently released two reports addressing the IRS workforce and customer service operations. The first report – [Status of the IRS’s Workforce as of January 2026](#) – updated the IRS’s workforce reduction efforts driven by employee incentives to separate from the agency, including the deferred resignation programs (DRPs), retirements, and other separations.

According to IRS records, 31,273 employees separated, accepted a DRP offer, or left the agency by accepting another incentive during the one-year period between January 2025 and January 2026. These departures represented roughly 30 percent of the IRS workforce, with

some business units experiencing greater impact than others. For example, approximately 33 percent of revenue agents and 32 percent of tax examiners were separated from the IRS. The agency began backfilling select positions and, as of January 2026, had hired approximately 2,000 employees, resulting in a net staffing decrease of 28 percent. TIGTA noted that the report is informational only and did not include recommendations.

TIGTA's second report – [Taxpayers Continue to Experience Customer Service Issues When Calling Certain IRS Telephone Lines](#) – reviewed the quality of telephone assistance provided to taxpayers. The report found that, while taxpayers generally received courteous and accurate service, 52 of the nearly 200 reviewed calls (26 percent) nonetheless contained quality issues. In some of those calls, TIGTA identified multiple issues, such as dropped calls, long hold times, inaccurate information, and/or lapse in courtesy, during the February 15, 2025, through May 15, 2025, period when the IRS received nearly 3.8 million calls on its Compliance Services and Accounts Management telephone lines. TIGTA also noted that each year, tens of millions of taxpayers rely on the IRS's toll-free and international telephone lines for help with federal tax questions, ordering tax forms, hearing pre-recorded messages relating to various tax topics, checking on the status of a refund, and inquiring about a letter or notice.

TIGTA made three recommendations to the Chief, Taxpayer Services, and the Commissioner, Small Business/Self-Employed Division: to revise internal call-documentation policy so representatives document all types of dropped or disconnected calls, reinforce hold-time requirements and proper call-handling practices, and evaluate recurring quality-of-service issues to identify needed procedural changes or additional training. The IRS agreed and plans to implement corrective actions.

IRS-CI warns of elder fraud schemes

While TIGTA's reports focused on IRS operations and workforce, the agency's Criminal Investigation (CI) division [warned](#) of a rise in elder fraud schemes, outlining common tactics, identifying key red flags, and providing guidance on how taxpayers can protect themselves.

According to IRS data, the IRS CI division initiated 97 new elder fraud investigations in fiscal year 2025 and has opened an additional 64 cases halfway through the current fiscal year. From FY2021 through FY2026, the agency has launched 255 elder fraud investigations involving alleged fraud totaling \$885.86 million, with \$736.82 million in alleged fraud tied to cases initiated within the past two years. Nearly 97 percent of IRS-CI's prosecuted cases resulted in convictions, with defendants receiving average federal prison sentences of almost four years.

IRS-CI is responsible for investigating financial crimes, including tax fraud, narcotics trafficking, money laundering, public corruption, healthcare fraud, identity theft, and more.

IRS's ETAAC releases 2026 annual report

Separately, the IRS [announced](#) the release of the Electronic Tax Administration Advisory Committee's (ETAAC) [2026 annual report](#), which includes a total of 18 recommendations, six of which are directed to Congress. The report is organized around the following six areas:

- Technology and data sharing;
- Sustained IRS funding;
- Artificial Intelligence and human-centered design;
- Digital filing and payments;
- Tax simplification and outreach; and
- Fraud prevention and preparer regulation.

This report, submitted to the IRS and Congress by members of the IRS ETAAC, presents recommendations for strengthening US tax administration amid rapidly evolving technology, persistent fraud threats, and changing taxpayer expectations. The recommendations reflect the collective perspective of tax practitioners, enrolled agents, state and local tax administrators, payroll providers, and tax software experts, drawing on extensive meetings with IRS personnel.

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Deloitte releases 2026 global tax policy survey; court vacates IRS Notice 2025-42, wind and solar framework restored

The [2026 Deloitte Global Tax Policy Survey](#), representing the views of 1,010 tax and finance leaders across 28 jurisdictions, was recently released. The survey was carried out between January and March 2026 to assess the most impactful global tax policy developments and their operational implications for multinational businesses across six themes, including tax transparency and reporting, international tax reform, digitalization of tax, taxing work and wealth, sustainability, and trade policy and tariffs.

This report includes the following findings:

- Tax compliance is the top issue affecting global tax and finance leaders in 2026;
- Simplifying Pillar Two remains critical, even as implementation moves forward;
- For investment decisions, tax stability and certainty matter more than the overall tax burden;
- Digitization and AI are raising expectations for tax transformation, but the benefits are not immediate;
- The transition to digitalized tax administration is surfacing significant data concerns; and
- Tax incentives are becoming a key aspect of tax competition.

Court vacates Notice 2025-42, wind and solar framework restored

Deloitte Tax LLP issued an [alert](#) following a June 6, 2026, decision by the US District Court for the District of Columbia vacating and remanding [Notice 2025-42](#) to the IRS in *Oregon Environmental Council v. Internal Revenue Service*, finding it was arbitrary and capricious and violated the Administrative Procedure Act (APA), 5 USC. section 706(2)(A). (For prior coverage of the court decision, see [Tax News & Views](#), Vol. 27, No. 22, June 12, 2026.)

The Treasury Department and the IRS first released Notice 2025-42 in August 2025 at the directive of [Executive Order \(EO\) 14315, Ending Market Distorting Subsidies for Unreliable, Foreign-Controlled Energy Sources](#). Notice 2025-42 had generally disallowed reliance on the five percent safe harbor to satisfy the beginning of construction (BOC) requirement except for certain smaller solar facilities, effectively requiring taxpayers to rely on the physical work test instead. It had also required taxpayers to utilize a continuous program of construction rather than continuous efforts to demonstrate satisfaction of the BOC continuity requirement.

Notice 2026-39 updates statistical area and coal closure categories for energy community bonus credit

Deloitte Tax LLP issued an [alert](#) on [Notice 2026-39](#) and related Appendices 1, 2 and 3 (available on the IRS [website](#)) to update the Statistical Area Category and the Coal Closure Category, described in sections 3.03 and 3.04 of [Notice 2023-29](#), which taxpayers may rely upon to qualify for the energy community bonus credit amounts or rates under sections 45, 45Y, 48, and 48E. The notice and appendices provide key updates including the following:

- **Statistical Area Category:** Identifies counties or county-equivalents that are considered energy communities from June 10, 2026, until the next annual update, because they are in a metropolitan statistical area (MSA) or non-metropolitan statistical area (non-MSA) that satisfies both the Fossil Fuel Employment and the unemployment rate criteria.
- **Coal Closure Category:** Identifies additional census tracts that are energy communities under the Coal Closure Category.

(For prior coverage of Notice 2026-39, see [Tax News & Views](#), Vol. 27, No. 22, June 12, 2026.)

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Trade corner: Two Senate Democrats seek section 301 remedy for US shipbuilding; section 122 tariff litigation

Sens. Elizabeth Warren (D-Mass.) and Mark Kelly (D-Ariz.) petitioned US Trade Representative Jamieson Greer to reinstate the Trade Act of 1974's section 301 port fees to benefit the US shipbuilding industry. Such fees were proposed early in President Trump's current administration, but the planned action was later then [postponed](#) for one year as part of a [trade deal](#) with China last November. In a [letter](#) to Greer dated June 7, Sens. Warren and Kelly criticized the reversal because the prospect of the fees helped erode Chinese production, they said. Revisiting the fees is "critical to revitalizing" the US maritime industry, the signatories wrote.

Stay granted in litigation challenging section 122 tariffs

On June 11, the US Court of Appeals for the Federal Circuit granted a motion by the federal government for a stay pending appeal of two Court of International Trade (CIT) cases on the global 10 percent tariffs imposed under section 122 of the Trade Act of 1974. The CIT [ruled](#) last month that the executive branch had overstepped its authority, prompting the appeal. The appellate court agreed "a stay is warranted" pending completion of the appeal proceedings. Both this decision and underlying CIT rulings have a narrow impact, however, only affecting the parties involved in the lawsuits.

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